

LAKSH'S DAILY BRIEF

Laksh's Daily Briefing — July 31, 2026

Friday, July 31, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



apnews.com — Hamas says a deal has been reached in Gaza, and other developments in the Middle East - AP



cnn.com — Middle East latest: Hamas for first time agrees to give up arms but only when Israel upholds



thediplomat.com — China Moves to Lock in a New Edge on Taiwan Before the Next Trump-Xi Summit

1. World & Geopolitics

Hamas agrees to disarm in potential Gaza breakthrough — but obstacles remain. In a historic shift, Hamas confirmed Friday it will disarm as part of a US-brokered peace plan, with President Trump announcing the agreement at a Camp David cabinet meeting ([AP News](#)). A senior Hamas official told CNN the group agreed to the deal with conditions — crucially, that disarmament only proceeds when Israel fully upholds the Gaza truce ([CNN](#)). This is the first time Hamas has publicly committed to giving up arms, but the "only when" clause creates a chicken-and-egg problem. Meanwhile, Israeli strikes killed four people in Gaza overnight, including two children, per Palestinian medics ([Haaretz](#)). The war has killed 1,214 people in Gaza since the October ceasefire agreement.

Iran's Revolutionary Guard strikes two more tankers in the Strait of Hormuz. No US strikes hit inside Iran overnight, but Tehran's paramilitary force claimed it struck two additional tankers in the Strait of Hormuz ([AP News](#)). This is a direct escalation of the tanker war that has accompanied the broader US-Iran conflict. The Strait of Hormuz is the world's most important oil chokepoint — roughly 20% of global petroleum passes through it. Every tanker strike raises oil prices and insurance costs for shippers. Kuwait reported no strikes on its territory despite Iranian claims of targeting a base there.

US Air Force flew from Israeli bases to strike Iran, Israeli defense minister reveals. Defense Minister Israel Katz confirmed in an interview that US fighter jets

and bombers took off from Israeli air bases to carry out strikes on Iran in recent weeks ([Jerusalem Post](#)). This is the first official confirmation of US combat sorties originating from Israel — a significant operational detail that underscores the depth of US-Israeli military coordination in the Iran campaign. Katz warned: "If Israel is fired upon, we will attack with all our might."

Trump tries to shift narrative away from Iran war ahead of midterms. At the Camp David cabinet meeting, Trump addressed a wide range of subjects — Iran, the midterm elections, and immigration — with analysts noting he's trying to "change the narrative away from the Iran war" ([France 24](#)). He also blamed Spain for migrant chaos at the Ceuta enclave, calling it an "invasion," even as over half the migrants who crossed returned to Morocco voluntarily ([France 24](#)).

Zelenskyy: Putin refuses even a ceasefire. Ukrainian President Volodymyr Zelenskyy stated in a Fox News interview that Trump wants peace but Putin rejects any negotiations, even for a temporary pause ([Ukrainews](#)). A Ukrainian negotiator separately told NPR that Kyiv believes it has "the upper hand" and that a major breakthrough could come later this year ([NPR](#)). The Kremlin has dismissed rumors of secret US-Ukraine air ceasefire talks ([Streamline](#)). Both sides hope the war ends before winter, per *The Statesman*, but a "huge trust deficit" persists ([The Statesman](#)).

Pentagon says US-China military dialogue is strongest in years. The renewed military contacts

follow more than a decade of deteriorating relations over China's military buildup, cyber activities, and pressure on Taiwan ([Stars and Stripes](#)). This is a positive development for de-escalation, though China's Global Times warns that the US must "truly curb 'Taiwan independence'" to avoid conflict ([Global Times](#)). The Diplomat reports China's military pressure on Taiwan remained stable in H1 2026, with tensions lower than at end-2025, partly due to multiple Trump-Xi summits ([The Diplomat](#)).

Democrats demand information on Trump and Lutnick families' ties to critical mineral deals. Senate Democrats asked five federal departments to preserve records related to critical mineral deals involving Trump

and Commerce Secretary Howard Lutnick's families ([CNBC](#)). This adds a domestic political dimension to the scramble for rare earths and battery minerals — a key input for AI data centers, EVs, and defense tech.

Bangladesh emerges as a geopolitical battleground. China views Bangladesh as a critical node in its Indian Ocean strategy, investing heavily in ports and infrastructure, while Pakistan tries to regain influence ([Rediff](#)). The Bangladesh-China-Myanmar Economic Corridor faces challenges from Myanmar's civil war ([The Daily Star](#)). India's Chabahar Port in Iran serves as a counterbalance to China's Pakistan-linked Gwadar port ([ORF](#)).

2. Markets, Money & Deals

Amazon surges 15% on massive AWS beat and \$220B capex plan. Amazon (AMZN) jumped 15.11% in the quote snapshot after reporting Q2 earnings that crushed expectations. AWS sales expanded 37% year-over-year, trouncing analyst estimates of 31% growth — the fastest growth since 2021 ([CNBC](#)). The company hiked its 2026 capex to \$220 billion, up \$20 billion from prior guidance, driven by higher memory costs for AI infrastructure ([Fierce Network](#)). This is the single biggest data point of the day: the hyperscaler capex supercycle is accelerating, not slowing.

Google goes cash-flow negative for first time as AI capex doubles. Alphabet (GOOGL) rose 6.21% despite reporting that its AI capex doubled to \$44.9 billion in a single quarter, pushing the company to negative free cash flow for the first time ([Tom's Hardware](#)). Together, the four largest hyperscalers plan combined 2026 capex of ~\$725 billion, up 77% on 2025. Alphabet's Q2 net income of \$112.1 billion overstates health — the cash flow number is what matters for sustainability.

Microsoft (MSFT) shares surging after earnings; analyst says there's still money to be made. Microsoft rose 2.73% in the snapshot. CNBC's Mike Khouw noted that following MSFT's Q4 earnings and "record-setting appreciation," the immediate binary event risk is behind us, but options strategies can still generate income ([CNBC](#)). The bigger story: Microsoft is now openly competing with OpenAI and Anthropic, its own

portfolio companies, by building in-house AI models ([TechCrunch](#)).

Exxon and Chevron profits surge on rising oil prices from Iran war. ExxonMobil and Chevron reported Q2 profits that surged on higher oil prices driven by the Iran conflict ([CNBC](#)). This is the direct market consequence of the Strait of Hormuz tanker strikes — every disruption to Persian Gulf oil flows flows straight to Big Oil's bottom line.

Grant Thornton to buy CBIZ for \$5 billion, creating 5th-largest US accounting firm. CBIZ stock jumped ~17% on the \$55-per-share cash offer, which gives CBIZ investors a substantial premium ([Economic Times](#)). CBIZ has a "go-shop" period through August 27 to seek better offers. The deal consolidates the professional services sector as firms seek scale to compete with the Big Four.

Saudi Arabia's \$55B EA takeover clears European Commission hurdle. The Public Investment Fund's proposed acquisition of Electronic Arts received EU merger approval ([Yahoo Finance](#)). This is one of the largest sovereign wealth fund acquisitions of a US gaming company and signals Saudi Arabia's push to diversify beyond oil into entertainment.

Corporate insiders are sending their most bearish signal in 20+ years. Insider selling relative to buying has reached levels not seen in over two decades ([MarketWatch](#)). This is a contrarian warning — corporate executives who know their businesses best are reducing

exposure. It doesn't predict an immediate crash, but it suggests the risk/reward for equities is poor at current valuations.

New York sues Kalshi for running "illegal gambling operation." NY Attorney General Letitia James accuses the prediction market of accepting wagers without a gaming license ([The Verge](#)). This is a regulatory threat to the prediction market industry, which has grown rapidly as a venue for betting on elections, Fed decisions, and geopolitical events.

Jane Street-backed exchange sells control to Canada's TMX Group. A trading exchange backed by quantitative trading firm Jane Street is being acquired by TMX Group ([Bloomberg](#)). Consolidation in exchange infrastructure continues.

FIFA tests private equity limits with World Cup subsidiary sale. UEFA and Concacaf rejected FIFA's plan to sell a 20% stake in World Cup commercial operations, highlighting unease with private equity in sports governance ([CNBC](#)).

3. AI & Infrastructure

Amazon hikes 2026 capex to \$220 billion — the AI buildout is accelerating, not peaking. This is the day's most important AI infrastructure story. Amazon's \$20B capex increase, driven by higher memory costs for AI, signals that the hyperscaler spending cycle has room to run ([Fierce Network](#)). AWS grew 37% YoY — its fastest since 2021 ([Data Center Dynamics](#)). The key insight: memory costs are now a binding constraint on AI infrastructure buildout, which benefits memory makers (Samsung, SK Hynix, Micron) but pressures hyperscaler margins.

Samsung expects memory shortage to worsen through 2027 and last until 2028. AI data center demand is fueling a multi-year chip shortage, pushing up component costs and retail device prices ([TechCrunch](#)). This is the most explicit timeline yet from a major memory maker. It confirms that the HBM (High-Bandwidth Memory) supply crunch is structural, not cyclical. For investors: this supports the bull case for memory stocks (MU, SK Hynix) but is a headwind for downstream buyers like Apple and hyperscalers.

Apple CEO Tim Cook says memory pricing is a "hundred-year flood" — expects to pay even more in September. Apple nearly doubled its inventory to \$11.09 billion as memory costs ate into gross margins ([Tom's Hardware](#)). Cook told analysts the company is fighting unprecedented memory price increases and expects further hikes next quarter. Apple and Amazon are both being hurt by higher memory prices ([MarketWatch](#)). Micron (MU) fell 4.33% in the snapshot — ironic, since higher memory prices are good for Micron's revenue, but Cook's desire for more suppliers suggests Apple may diversify away from Micron.

Microsoft and Databricks extend partnership into the 2030s as enterprise AI battle intensifies. The multi-year extension signals that the enterprise AI platform war is shifting from model selection to data infrastructure ([Cloud Wars](#)). Databricks provides the data lakehouse layer that feeds AI models; Microsoft brings Azure cloud and enterprise distribution. This is a direct challenge to Snowflake and Google's BigQuery.

Utility acquires West Virginia coal plant as AI power demand intensifies. A utility has acquired a coal plant to meet surging electricity demand from AI data centers ([thewellnews.com](#)). This is a concrete example of the tension between AI infrastructure growth and decarbonization goals. Coal plants are being kept online or reacquired specifically to power data centers, which complicates the clean energy transition narrative.

GM to launch proprietary in-vehicle AI system later this year. General Motors plans to deploy its own AI system tailored for automotive use ([CNBC](#)). This is part of a broader trend where every major industry is building custom AI stacks rather than relying solely on third-party models. GM and Ford are also talking less about EVs on investor calls — EV mentions are at pre-pandemic rates ([TechCrunch](#)).

Apple's Siri AI could come with a payroll for power users. Tim Cook envisions users buying more compute for Siri AI via Apple's iCloud+ subscriptions ([TechCrunch](#)). This is Apple's version of monetizing AI inference — rather than charging for the model, they charge for the compute. It's a smart strategy that aligns with Apple's services revenue growth.

SpaceX won't remove all of xAI's unpermitted turbines for another year. SpaceX is building a new

power plant for xAI's Colossus data centers but won't remove existing unpermitted turbines for many more months ([TechCrunch](#)). This highlights the regulatory

friction in scaling AI infrastructure — even Elon Musk's own companies can't quickly resolve permitting issues.

4. Model & Research Watch

Moonshot AI releases Kimi K3 open weights — 2.8 trillion parameters, 1M context window, fourth-best on independent benchmarks. Kimi K3 is a 2.8-trillion-parameter Mixture-of-Experts (MoE) model released July 16, with open weights becoming freely downloadable on July 27 ([Tech Times](#)). On the independent Artificial Analysis Intelligence Index, it scored 57 — fourth behind Claude Fable 5 (~60) and two GPT-5.6 Sol variants, and ahead of Claude Opus 4.8 (~56) ([SQ Magazine](#)). Its 1 million token context window means users can feed entire codebases into a single query ([Quartz](#)). The model was trained on Nvidia H20 chips (a low-end, export-compliant GPU), not Blackwell B-series chips ([Tom's Hardware](#)). This is significant: it shows frontier-level performance is achievable even under US export controls. The open-weight release is already stoking fears of another "DeepSeek moment" — a Chinese model that rivals US frontier models at a fraction of the cost ([Built In](#)). Moonshot AI closed a \$3.5B funding round alongside the release.

Thinking Machines shrinks Inkling to 12B active parameters without sacrificing performance. The startup unveiled a new version of its Inkling model that uses only 12 billion active parameters (out of a much larger total) while maintaining competitive performance ([Analytics India Mag](#)). This is a demonstration of **distillation** and **sparse activation** — techniques that dramatically reduce inference cost. For investors: models that are cheaper to run accelerate enterprise adoption and reduce the GPU-per-inference ratio, which is a mild headwind for Nvidia's volume thesis but a tailwind for adoption.

Sarvam AI plans a 1 trillion-parameter model. The Indian AI startup is entering the frontier model race, competing against Kimi K3, GPT-5.6 Sol, and others

([Moneycontrol](#)). India is emerging as a third pole in AI development alongside the US and China.

OpenAI and Anthropic are writing the threshold their rivals must clear for launch. The two leading labs are effectively setting the safety and capability bar that new entrants must meet ([Tech Times](#)). This gatekeeping power gives them regulatory influence beyond their market share.

New research: RL-trained reasoning models outperform SFT models due to better internal representations. A new arXiv paper shows that reinforcement learning (RL) fine-tuned models develop superior mathematical reasoning capabilities compared to supervised fine-tuned (SFT) models, and traces this to differences in internal neural representations ([arXiv](#)). This is mechanistic interpretability work that explains *why* reasoning models like o1 and R1 work better — not just that they do.

Other notable papers: - **Deception in multi-agent LLM systems:** Models with mixed motives (cooperation + competition) exhibit "objective misalignment" and strategic deception ([arXiv](#)). - **Evaluation scores are "perishable knowledge claims":** A position paper argues that benchmark scores lose validity over time and should not be treated as permanent facts ([arXiv](#)). - **AI in science:** A new study finds AI's contribution to scientific discovery intensifies with its penetration within a field and the "roughness" of the knowledge space ([ScienceDirect](#)).

Science & Frontier Tech: A discarded SpaceX rocket is on a high-speed collision course with the moon ([Tribune-Democrat](#)). Tom's Hardware celebrates 30 years of CPU coverage, tracing the Intel-AMD rivalry from Pentium II to Ryzen 9 9950X3D ([Tom's Hardware](#)).

5. Watchlist: Earnings, Guidance & Movers

Amazon (AMZN) +15.11% — Q2 AWS revenue grew 37% YoY (vs 31% expected). Company raised 2026 capex to \$220B, up \$20B from prior guidance, citing higher memory costs. The biggest beat of the season.

Alphabet (GOOGL) +6.21% — Q2 AI capex doubled to \$44.9B, pushing the company to negative free cash flow for the first time. Net income of \$112.1B overstates health.

Microsoft (MSFT) +2.73% — Continued strength after Q4 earnings. Analyst notes "record-setting appreciation" but says options strategies can still generate income.

Coherent (COHR) +5.72% — No specific earnings news in sources, but the optical networking sector continues to benefit from AI data center buildout.

Applied Optoelectronics (AAOI) +5.51% — Similar to COHR: optical components are a key bottleneck in AI data center networking.

Astera Labs (ALAB) +4.48% — The connectivity and memory interface company continues to ride the AI infrastructure wave.

Credo (CRDO) +4.15% — No specific news in sources, but the optical/connectivity theme remains strong.

Marvell (MRVL) +4.63% — No specific earnings news, but the custom silicon and networking story remains intact.

Micron (MU) -4.33% — Apple CEO Tim Cook expressed desire for more memory suppliers, calling pricing a "hundred-year flood." This is a negative signal for Micron's pricing power if Apple diversifies.

SanDisk (SNDK) -3.23% — Memory pricing concerns weigh on the storage company.

Coinbase (COIN) -12.19% — Sharp decline. No specific news in sources, but the broader crypto market may be reacting to the Kalshi lawsuit and regulatory uncertainty.

Netflix (NFLX) -2.20% — No specific news in sources.

Qualcomm (QCOM) -2.04% — No specific news in sources.

No notable news in sources for: RGTI, SOFI, PLTR, FLNC, RDW, IBM, AMC, TSLA, META, AVGO, NET, VST, HOOD, ARM, IMAX, CNK, CMCSA, INTC, AMD, KLAC, DLR, EQIX, SBUX, NKE, FXAIX.

6. How It Connects (Infrastructure & Supply-Chain Logic)

Chain 1: AI demand → memory shortage → hyperscaler capex → component pricing → downstream pain. Amazon's \$220B capex (up \$20B) is explicitly driven by higher memory costs. Samsung says the memory shortage will worsen through 2027 and last until 2028. Apple's Cook calls it a "hundred-year flood." The causal chain: AI training and inference require massive amounts of HBM (High-Bandwidth Memory) → HBM supply is constrained by TSMC's CoWoS packaging capacity and SK Hynix/Samsung/Micron fab output → memory prices surge → hyperscalers must spend more to get the same amount of memory → downstream buyers (Apple, PC makers, auto) get squeezed → they seek alternative suppliers or reduce memory content. The winners: memory makers (Samsung, SK Hynix, Micron). The losers: downstream hardware companies and hyperscaler margins.

Chain 2: Open-weight models → cheaper inference → faster enterprise adoption → more total compute demand. Kimi K3's open-weight release (2.8T params, 1M context, fourth-best benchmarks) and Thinking

Machines' 12B active-parameter Inking both demonstrate that frontier-level performance is achievable at dramatically lower inference cost. This accelerates enterprise AI adoption because companies can run capable models on their own infrastructure without paying API fees to OpenAI/Anthropic. More adoption → more total inference compute demand → more GPUs and networking gear needed over time, even if the per-inference GPU requirement drops. This is the Jevons paradox for AI compute: efficiency gains lead to more total consumption, not less.

Chain 3: Iran tanker strikes → oil prices → energy costs → data center power economics. The Strait of Hormuz tanker strikes by Iran's Revolutionary Guard are pushing oil prices higher, as reflected in Exxon and Chevron's surging profits. Higher oil prices → higher natural gas prices (since gas often trades on oil-linked contracts) → higher electricity costs → higher data center operating expenses. This directly impacts the economics of AI infrastructure, where power is already the second-largest cost after hardware. It also makes

renewable energy (solar, wind, nuclear) more competitive for data centers, which benefits companies like NextEra Energy (NEE) and Fluence Energy (FLNC)

— though the coal plant acquisition story shows the tension.

7. Building Your Knowledge

- 1. Memory is the new bottleneck in AI infrastructure.** For the last two years, the constraint was GPU supply (Nvidia's H100/B200). Now, as Samsung and Apple's Cook both confirm, memory (HBM, DRAM, NAND) is the binding constraint. This shifts pricing power from GPU makers to memory makers. When you hear "memory shortage," think: SK Hynix, Samsung, Micron benefit; Apple, hyperscalers, PC makers pay more.
- 2. Open-weight models create a two-sided investing dynamic.** On one side, cheaper models reduce the cost of AI inference, which is a headwind for GPU volume growth per unit of AI output. On the other side, cheaper models accelerate adoption, which increases total compute demand. The net effect is usually positive for total GPU demand (Jevons paradox), but the mix shifts toward inference vs. training. Nvidia's data center revenue is increasingly inference-driven, so this is a net positive for NVDA over time.
- 3. The Fed is not the only game in town for markets.** While the Fed held rates (with three hawkish dissents), the market is ignoring the rate story and focusing on earnings. Amazon's 15% surge on a cloud beat matters more for portfolio returns than the 10-year yield at 4.69%. This is a reminder that in a stock-picker's market, company-specific fundamentals dominate macro.
- 4. Geopolitical risk is binary for oil, continuous for supply chains.** The Iran tanker strikes are a binary event that directly moves oil prices (Exxon/Chevron profits surge). But the China-Taiwan semiconductor risk is continuous — it's always there, slowly escalating or de-escalating. The Pentagon's improved US-China military dialogue is a de-escalation signal, but China's Global Times warns the Taiwan question is non-negotiable. Investors should distinguish between acute risks (Iran oil disruption) and chronic risks (Taiwan chip disruption).
- 5. Enterprise AI is becoming a platform war, not a model war.** Microsoft's deepening partnership with Databricks (through the 2030s) and its simultaneous competition with OpenAI/Anthropic show that the real battle is for the enterprise data layer, not just the best model. Companies that control the data infrastructure (Databricks, Snowflake, Microsoft Fabric) have durable competitive advantages regardless of which model wins.
- 6. Insider selling at 20+ year highs is a signal, not a prediction.** Corporate insiders selling stock doesn't mean the market will crash tomorrow. But it does mean the people closest to their businesses see poor risk/reward at current valuations. This is a reason to be cautious with new capital deployment, not a reason to sell everything.

8. Terms & Concepts

Concept Spotlight: Free Cash Flow (FCF)

What it is: Free Cash Flow is the cash a company generates after accounting for capital expenditures (capex) needed to maintain or expand its asset base. It's calculated as: Operating Cash Flow minus Capital Expenditures. FCF is the "real" profit — the cash available to pay dividends, buy back stock, reduce debt, or reinvest.

Concrete example: Alphabet (GOOGL) reported Q2 net income of \$112.1 billion, which sounds fantastic. But its

AI capex doubled to \$44.9 billion in a single quarter, pushing the company to *negative free cash flow* for the first time. That means Alphabet is spending more on data centers and GPUs than it's generating from operations. The \$112B net income includes non-cash items (depreciation, stock-based compensation) that don't reflect actual cash position.

Real use case for investors: FCF is a better measure of financial health than net income or EPS because it can't be easily manipulated by accounting choices. A

company with growing FCF can fund growth without issuing debt or equity. A company with negative FCF (like Alphabet now) must either borrow, sell shares, or cut capex — all of which have consequences for shareholders.

Rough numbers/benchmarks: - A healthy mature company typically has FCF margins (FCF/Revenue) of 10-20%. - Tech giants historically ran 25-35% FCF margins before the AI capex cycle. - Nvidia generated nearly \$50 billion in FCF in a single quarter recently — an extraordinary number that "buys forgiveness on multiple compression." - A company with negative FCF can survive for years if it has a strong balance sheet (like Alphabet with \$100B+ cash), but it's a warning sign for weaker companies.

Caution/common misconception: Many investors confuse net income with FCF. They're not the same. A company can report record profits while burning cash (if profits are driven by non-cash items or working capital changes). Conversely, a company can show a net loss but positive FCF (if it's depreciating assets it already paid for). Always check FCF, not just EPS.

Other Terms:

- **Basis point (bps):** One basis point = 0.01%. Used to describe small changes in interest rates, bond yields, or fees. If the Fed raises rates by 25 bps, that's 0.25%. If a fund charges 50 bps in fees, that's 0.50%.
- **CoWoS (Chip-on-Wafer-on-Substrate):** A TSMC packaging technology that stacks multiple chips (like GPU + HBM) on a single substrate. It's the bottleneck for advanced AI accelerators because every HBM stack needs CoWoS capacity. TSMC is racing to expand CoWoS capacity, but it's limited by equipment availability and clean room space.
- **Distillation (AI context):** A technique where a large "teacher" model trains a smaller "student" model to mimic its outputs. The student model is much smaller and faster but retains most of the teacher's capabilities. Thinking Machines' 12B active-parameter Inkling is an example — it achieves near-frontier performance with a fraction of the compute.
- **Hyperscaler:** A company that operates massive, globally distributed cloud computing infrastructure. The Big Four hyperscalers are Amazon (AWS), Microsoft (Azure), Google (GCP), and Meta. They're the primary buyers of Nvidia GPUs and the drivers of the AI capex supercycle.
- **Open-weights model:** A model whose trained parameters (weights) are publicly released for download, as opposed to a closed model where you can only access it via API. Kimi K3 is open-weights. GPT-5.6 Sol is closed. Open-weights allows anyone to run the model on their own hardware, fine-tune it, or audit it.
- **P/E Ratio (Price-to-Earnings):** Stock price divided by earnings per share. A P/E of 20 means investors pay \$20 for every \$1 of earnings. High P/E = expensive (or expected growth). Low P/E = cheap (or expected decline). Nvidia trades at a high P/E because investors expect future earnings to grow dramatically.
- **Process node:** The manufacturing technology used to make chips, measured in nanometers (nm). Smaller numbers = more advanced = more transistors per chip. TSMC's 3nm is the current leading edge. SMIC, China's largest foundry, is stuck at 7nm due to US export restrictions on EUV lithography equipment.
- **REIT (Real Estate Investment Trust):** A company that owns and operates income-producing real estate (data centers, cell towers, office buildings). REITs must distribute 90%+ of taxable income as dividends. Digital Realty (DLR) and Equinix (EQIX) are data center REITs that benefit from AI infrastructure demand.
- **Shadow Fleet:** A fleet of aging, often uninsured tankers used by countries under sanctions (like Iran, Russia, Venezuela) to transport oil. These ships often turn off their transponders and use complex ownership structures to evade detection. The Strait of Hormuz tanker strikes may involve shadow fleet vessels.
- **Short selling:** Borrowing shares and selling them, hoping to buy them back cheaper later. If the stock falls, the short seller profits. If it rises, they lose. Short sellers are betting against a company. High short interest can lead to a "short squeeze" if the stock unexpectedly rises.
- **Strait of Hormuz:** A narrow waterway between Iran and Oman connecting the Persian Gulf to the Gulf of Oman. About 20% of global oil passes through it. Iran

has threatened to close it during conflicts. Every tanker strike there raises global oil prices.

9. Bottom Line

Today's brief is defined by a **two-speed market**: the AI infrastructure trade is accelerating (Amazon +15%, AWS 37% growth, \$220B capex) while the rest of the economy shows strain (insider selling at 20-year highs, Fed holding rates with hawkish dissents, memory costs squeezing downstream). The geopolitical picture is equally divided — a potential Gaza breakthrough (Hamas agrees to disarm) alongside ongoing Iran tanker strikes and a frozen Ukraine-Russia front.

The single most important data point is Amazon's capex hike to \$220 billion. This confirms that the hyperscaler spending cycle is not peaking — it's accelerating, driven by memory costs. The memory shortage (Samsung says through 2028) is now the binding constraint on AI infrastructure, shifting pricing power from GPU makers to memory makers.

Kimi K3's open-weight release (2.8T params, 1M context, fourth-best benchmarks) is the second-most important story. It demonstrates that Chinese AI labs can achieve frontier-level performance under US export controls, using H20 chips. This has implications for the US-China tech war, enterprise AI adoption, and the competitive dynamics of the AI model market.

What changed since the previous brief: - Amazon crushed earnings (AWS +37% vs 31% expected) and

raised capex to \$220B — the single biggest capex number in tech history. - Alphabet went cash-flow negative for the first time as AI capex doubled to \$44.9B. - Hamas agreed to disarm for the first time — a potential Gaza breakthrough, though conditions remain. - Iran's Revolutionary Guard struck two more tankers in the Strait of Hormuz, escalating the tanker war. - Samsung explicitly said the memory shortage will worsen through 2027 and last until 2028. - Apple's Cook called memory pricing a "hundred-year flood" — the strongest language yet from a downstream buyer. - Kimi K3's open weights became freely downloadable, sparking another "DeepSeek moment" debate. - Corporate insider selling hit 20+ year highs — a contrarian warning signal. - New York sued Kalshi for running an "illegal gambling operation" — regulatory threat to prediction markets. - The Pentagon confirmed US-China military dialogue is at its strongest in years — a modest de-escalation signal.

The key question for tomorrow: Will the Gaza disarmament deal hold, or will the "only when" conditions create a stalemate? And will the memory shortage narrative push memory stocks higher despite Apple's desire to diversify suppliers?

10. Sources

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Quick Check

1. **Memory shortage:** Samsung expects the memory shortage to last until what year? And what did Apple's Tim Cook call the current memory pricing environment?
2. **Kimi K3 specs:** What are the parameter count, context window size, and benchmark ranking (on the Artificial Analysis Intelligence Index) of Moonshot AI's newly released open-weight model?
3. **Amazon's capex:** Amazon raised its 2026 capex to how many billions? What was the primary driver cited for the increase?

Answers: 1. Samsung expects the memory shortage to last until 2028. Apple's Tim Cook called it a "hundred-year flood." 2. Kimi K3 has 2.8 trillion parameters, a 1 million token context window, and scored 57 on the Artificial Analysis Intelligence Index (fourth-best, behind Claude Fable 5 and two GPT-5.6 Sol variants). 3. Amazon raised its 2026 capex to \$220 billion, up \$20 billion from prior guidance. The primary driver cited was higher memory costs for AI infrastructure.

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